

Resilience over Speed

A Framework for Long-Term Investing

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Disclaimer

Solidarity and I are a Work in Process.

I am being descriptive, not prescriptive.

I am not making the case that our approach is better than other alternatives.

Any companies discussed are just for illustration to make the discussion richer. No recommendation to buy or sell.

Key Messages

There is no one right way

Approaches differ on your goals, beliefs, time horizons and Temperament.

We chose resilience over speed

It is where we have found success.

It is the path we can stay with over long periods of time.

We continue to refine this core approach basis our learnings and experiences

Find the way that is right for you

Don't rush to define your investment philosophy today.

Experiment and understand who you are, what works for you

Then refine it till you become the best version of yourself.

01

The One Right Way Does Not Exist

Your Path To Nirvana Starts From Accepting Who You Are

Solidarity

Person I admire deeply

Starting point is Quality.

Starting point is Price/Value.

Looking to buy businesses

Looking to beat the market.

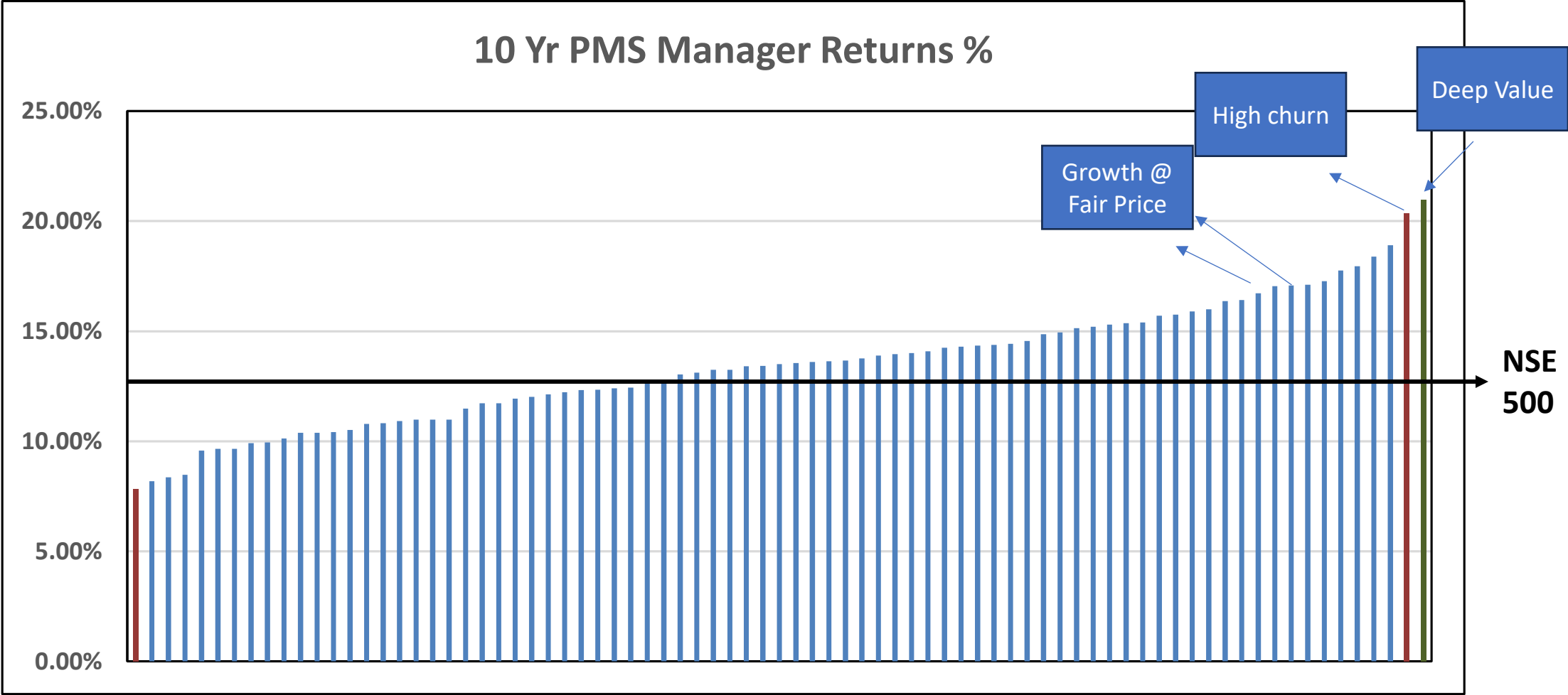
Long term is 5- 10 years

Time frame is opportunistic

Ownership mindset

Cycles. Sector rotation –
what works now

The One Right Way Does Not Exist



02

Should One Think Long Term in a VUCA World ?

VUCA – Volatile, Uncertain, Complex, Ambiguous

We Have Always Lived In A VUCA world

Time	Event
2008	Global Financial crisis
2010	Greek debt crisis
2011	Arab Spring
2014	Russia annexes Crimea
2016	Brexit
2017	De-monetisation

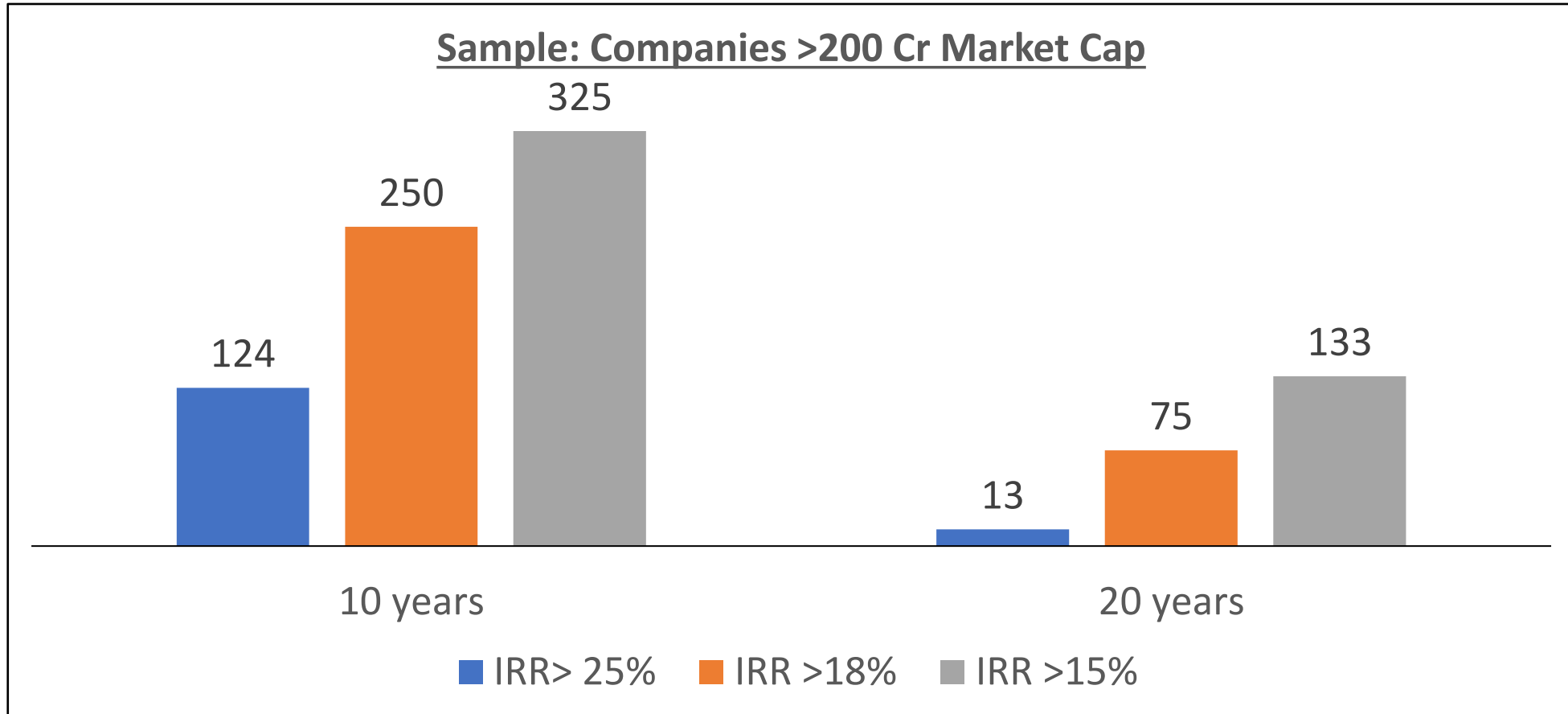
Time	Event
2018	US China Trade war
2020	Covid
2022	Russia invasion of Ukraine
2024	Israel war with Gaza
2025	Trump tariffs
2026	US Iran conflict

Creative Destruction Creates New Secular Opportunities

Key trend	What is coming in favour
Declining Trust in the US	Rise in global Defense Budgets
Fear that China may weaponize supply chains	Opportunity for India in Manufacturing for the World
Need to de-risk exposure to cheap energy from Russia and Middle East	Self – sufficiency in energy through renewables
AI challenging business model and growth of Indian IT	Investments in Data Centres

“The world can be bad and better at the same time”

Many Cos. in India Have Thrived Long Term Despite VUCA



Cash Calls: Steep Cost If You Miss Inflection Points

Time frame: ~21 years	Nifty 50 TRI Return(%)
Missed best 50 days	0.89%
Missed best 30 days	4.59%
Missed best 10 days	9.67%
Missed best 5 days	11.24%
Stayed invested all days	13.60%

% CAGR from April 2005 to May 2026

Source: ET (Abakus Mutual fund)

03

Our Approach: Anchored on Resilience and Long Time Horizons

What Do These Terms Mean To Us?

RESILIENCE

Buy what seems enduring and trustworthy.

Buy with intent to hold for long periods

It is NOT Never Sell or being Foolishly consistent.

It is having a strong reason to change positions

SPEED

Buying a business where you have low fundamental conviction just because the stock is moving

Change lanes to “win the moment” even though there is nothing wrong with the underlying business you are holding

Mistake: Winning Various Moments But At What Cost ?

Titan Company Ltd

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What Explained The Error?

“There’s a difference between knowing the path and walking the path.”

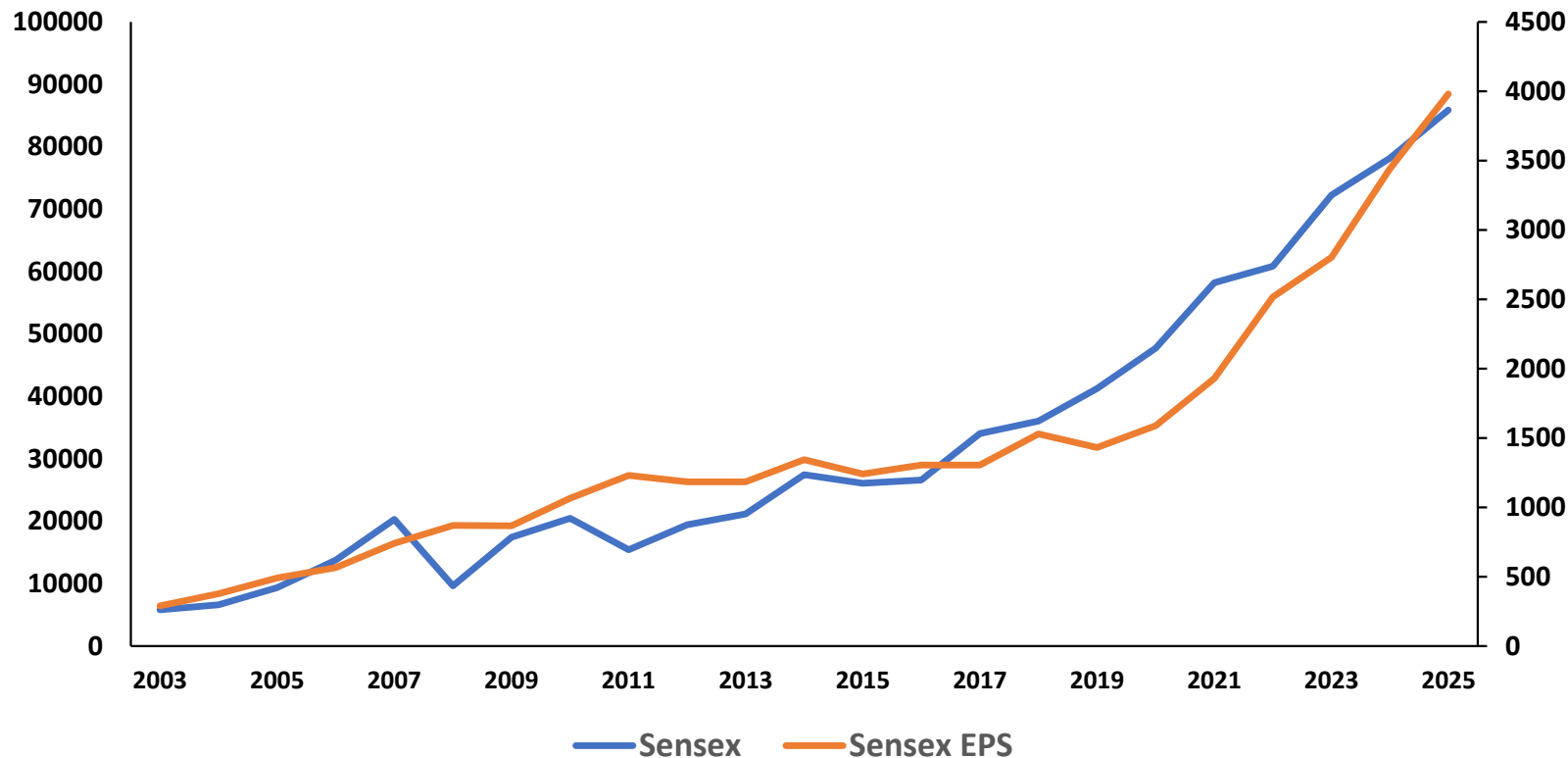
- The Matrix

Did the stress of the moment make me stray from the path?

Or was it greed to win the moment?

The Path Is Clear

Sensex vs Sensex EPS



“Over The Long Term, Stock Prices Are Slaves To Earnings”

A well diversified portfolio over the longer term will broadly deliver its underlying Earnings growth

Need to resist the urge to be super-intelligent short term and stay invested

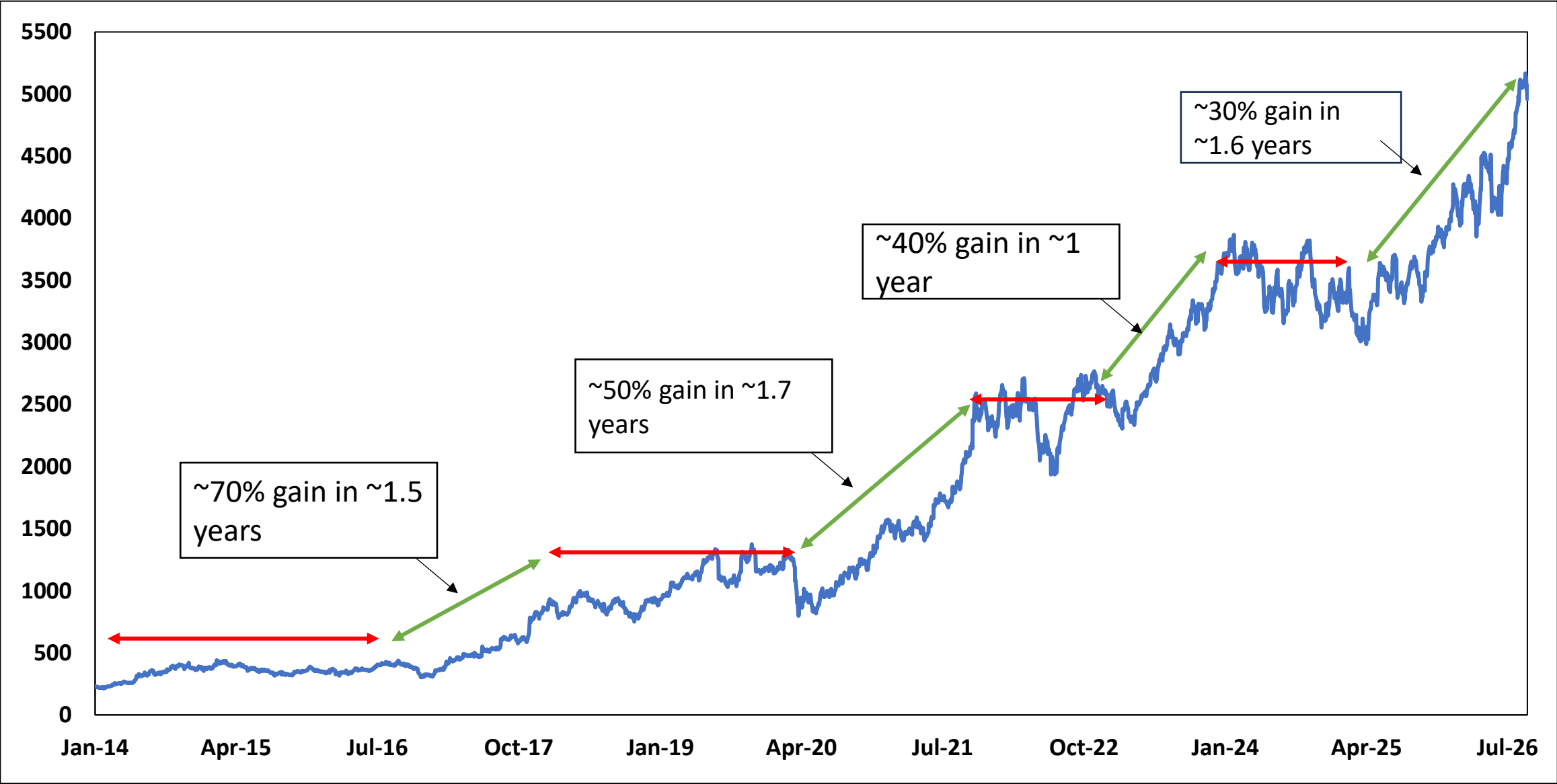
The Path Requires Patience As Earnings Growth Is Seldom Linear

SOL Company	EBITDA Growth FY16-FY26	Period when earnings appeared to stall
A	22%	FY18-FY21
B	22%	FY23-Q1FY26
C	15%	FY18-FY21
D	25%	FY23-Q3FY25
E	15%	FY21-FY24
F	22%	FY23-Q2FY26
G	22%	FY25-Q1FY27

For all companies without exception here, the stall period was followed by strong stock price growth when earnings recovered.

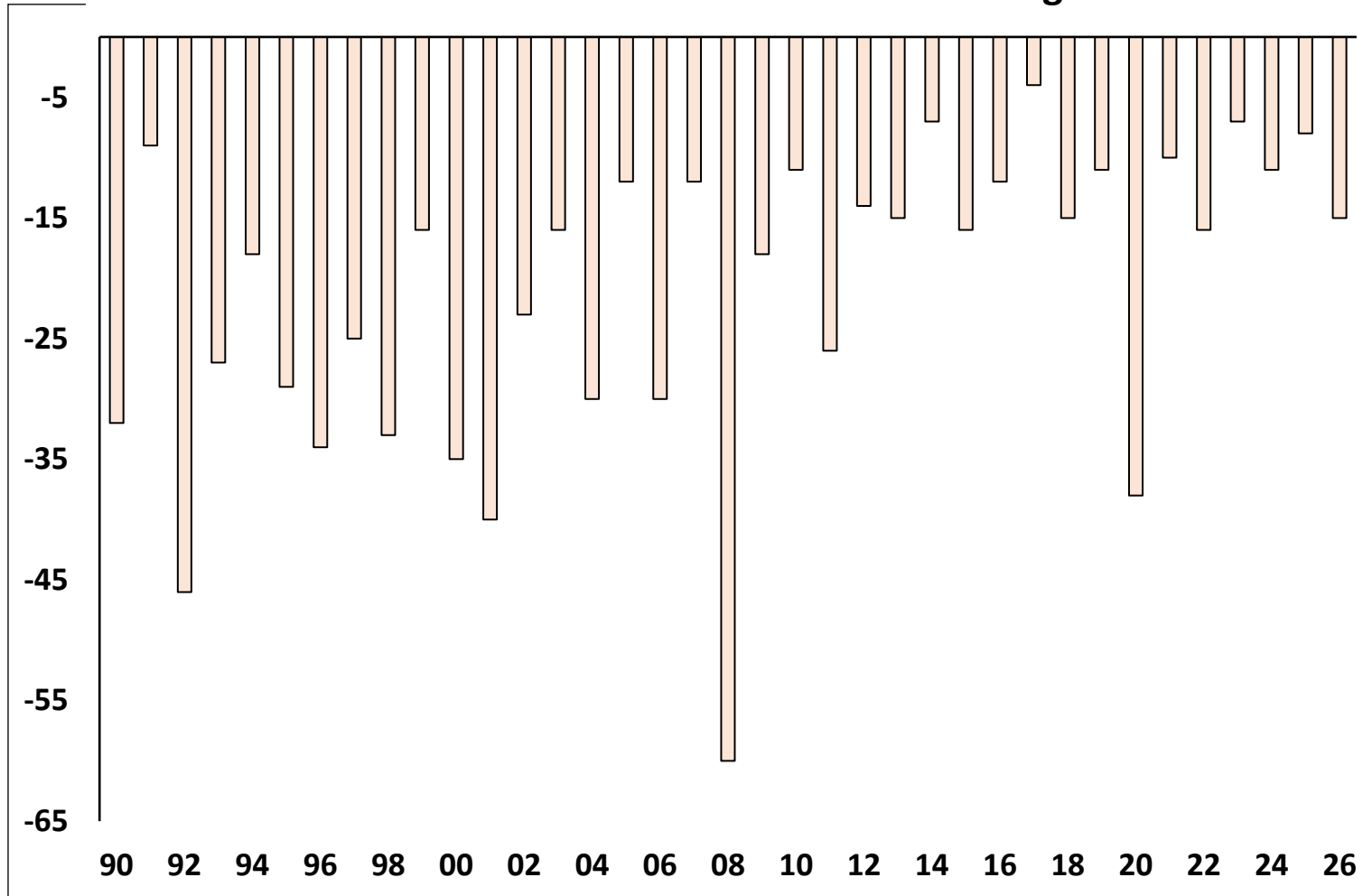
But stall, was also stimulation to sell and change lanes.

The Path: Stock Prices Move In spurts. You Can Miss Inflection Points



A VUCA World Creates Stress and Derails One From Path

NIFTY % draw down from 52 week high



During periods of stress, the protective instincts of the brain dominate.

Time horizons shrink. FLIGHT instinct dominates FIGHT

Dominant instinct is to protect capital.

We need an anchor to help us stay on course

What Owning Something Resilient Does

Reduces the pressure of the moment by reducing unforced errors.

Reduces friction costs such as taxation by minimizing movement

Helps take opportunity of crisis by giving courage to add on declines

Opens up opportunities to earn Asymmetric upsides

Well Run Companies Prolong Growth Via Adjacencies

Examples	Core Business Line 2021	Business Lines in 2026 not visible in 2021	2030 optionality already visible
Shaily	Home Furnishings	GLP 1s	Consumer Electronics Semi Conductor Trays
Neogen	Bromine and Lithium compounds	Battery Chemicals	Semi Conductor Chemicals
Sansera Engineering	Automotive Components	Aerospace, Defense, Semiconductors	
IndiaMART	B2B Listings	BUSY- Accounting Software	
Yasho Industries	Consumer Chemicals	Lubricant Additives	

Uninterrupted LT Compounding Opens Up Opportunity For Asymmetric Upsides

Position	Initial Capital	IRR	Capital after 5 yrs	Capital after 10 yrs	Capital after 20 yrs
1	100	30%	371	1379	19005
2	100	25%	305	931	8674
3	100	20%	249	619	3834
4	100	18%	229	523	2739
5	100	15%	201	405	1637
6	100	10%	161	259	673
7	100	10%	161	259	673
8	100	10%	161	259	673
9	100	-8%	66	43	19
10	100	-8%	66	43	19
	1000		1970	4722	37944
Compounding Time period (yrs)			5	10	20
XIRR			14.5%	16.8%	19.9%
Market			11.0%	11.0%	11.0%
Alpha			3.5%	5.8%	8.9%

Portfolio returns will follow a power law.

Very few winners can drive returns even if half the portfolio turns in an ordinary performance.

But for that, you need to let winners run for longer, not take profit off the table quickly

And tolerate periods when winners appear to stall or the market breaks

Our Core Approach Has Not Changed ...

Buy 15-20 resilient businesses with secular tail winds that can grow profits 15%+ for long periods, with high probability

Be willing to pay a broadly fair price.

Ride winners. Be willing to add on declines if a company is executing well.

No foolish consistency. Change course when facts change. But don't act for emotional relief.

... But Some Evolution Over Time Basis Experiences

Attribute	2014	2026
Game we are playing	Beat the market	Via partnering with well run businesses, not trading stocks
Exceptional promoters	Disciplined + Inspire trust	+ Long game + Hunger to scale beyond core
Time horizon	Rolling 3 yrs	Rolling 5 yrs or higher
Definition of resilience	Size + Balance Sheet strength	+ Promoter attributes + circumstances that explain high leverage Small caps need not be less resilient than Large Caps
Margin of safety	Quality and entry valuations	Pay a “small premium” when prospects for Asymmetric upsides.
Churn	High – optimize for 3 yr IRRs	Do not exit cos with Asymmetric upside potential at high PE
Portfolio composition	Large Caps.	Primarily Small and Micro Caps.
Liquidity risk	Important risk consideration to eliminate cos	Manage through position sizing.

04

Why not trade short term and invest long term?

Thinking Short and Long Term Simultaneously Does Not Work For Me

One needs to train their minds
to think a particular way

Else you risk confusion at
pivotal moments

Top 3 Batting Order: Indian men's cricket team at present	
TEST	20 over
Jaiswal	Abhishek
Rahul	Samson
Gill	Ishan

“A cat that dreams of being a lion needs to lose its appetite in mice”

05

What I would tell my younger self

It is not meant to be easy

The human mind is wired for protection (short term thinking) and to stay with the herd (consensus)

... BUT ...

Investors are rewarded for acting contrary to natural instincts of the brain and for independent thinking.

Consistency and Discipline are not innate qualities that need to be built.

Thin line between Conviction and Stubbornness

Don't be in a hurry to define your "investment philosophy"

You can't have one unless you have experienced a long and a few short market cycles

Experiment with multiple approaches

See what comes more naturally to you and how you react during stress

Don't run concentrated positions early because your capital is limited. Losses may destroy your confidence and make you exit the game prematurely

Stay away from F&O. Odds are significantly against you. And it takes you further away from calmness needed to think clearly

Blindly following other investors will get you killed.

Understand the game they are playing

*Understand their context underlying an action:
risk appetite, position size, ability to take draw-downs*

“There is no ONE right way. But there is one that is right for YOU”

You have to live and invest as you are.

Find the path. Then become the best version of yourself.

Questions and Discussion